

Unbacked money has had more inflation. A backing is no guarantee



Inflation a year, G10 and Switzerland. The float: none of their monies convertible into gold. Source: Bordo and Schwartz (1994), Table 3.

Stablecoins, gold tokens and a return to gold all sell safety by what stands behind them

A backing limits how much money can be issued: notes beyond what holders want come back to be exchanged.

But a backed money is worth what its backing is worth. Under gold, prices fell to 1896 and rose after, the backing standing all along.

The dollar stayed convertible into gold at home through the First World War. Its price index went from 9.9 in June 1914 to 20.9 in June 1920.

Land stood behind a money that collapsed, and behind one that held

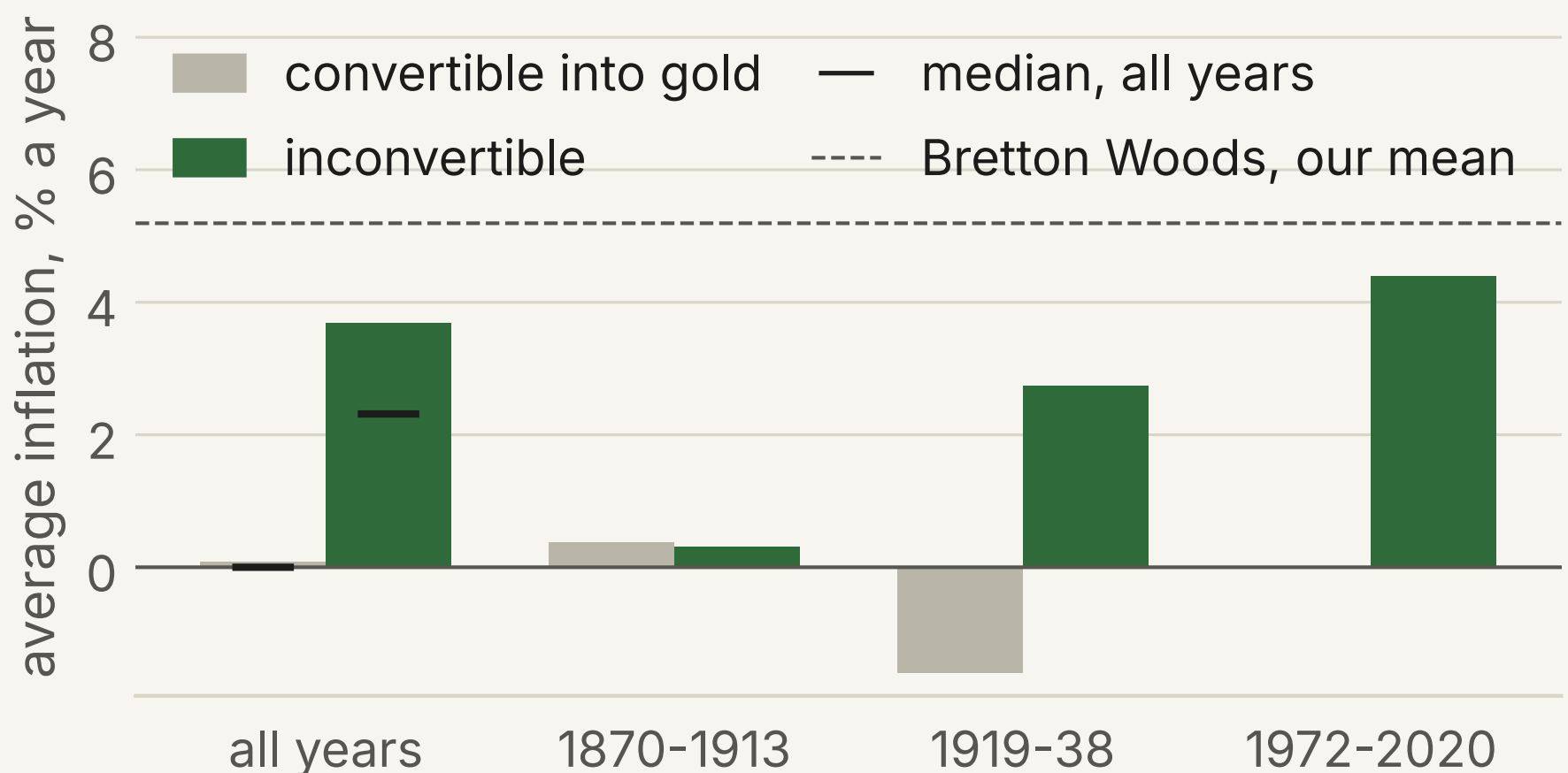
France's mandat of 1796 could buy national land at a fixed price, and was capped by law. It opened at 35% of face in coin and fell to 6% by summer.

Germany's Rentenmark, from 1923, rested on a land and property mortgage and was capped too. It held.

Northern Iraq's Swiss dinar, a stock fixed for about 13 years and redeemable into nothing, kept its value against Saddam Hussein's collapsing dinar. Terra, exchangeable for its issuer's own token, collapsed in 3 days.

We read these cases as existence only: each outcome happened, never how often.

Since 1870, inflation ran 3.6 points a year higher in years money could not be exchanged for gold



Source: Jorda-Schularick-Taylor Macrohistory Database R6 (consumer prices); Bordo and Schwartz (1994), Table 1A (dates); First Thing. Means leave out the years above 100%, which would swamp them; medians keep every year. War years and Bretton Woods set apart.

17 rich economies; alike only before 1914. The gap's range: 1.9 to 5.7 points. It describes; it tests nothing.

Not what stands behind it, but who can create more of it, and what stops them

- Who can create more of it, and what stops them?
- Who may redeem it, and into what?
- What is the asset behind it worth, and whose is it?
- What else could its holders use?

The great inflations had fiscal roots: a state paying its bills with the press.

A backing is neither necessary nor a guarantee

Unbacked monies have had more inflation, a few points a year in the rich economies. But unbacked monies have run for decades without collapsing, and backed monies have lost half their value or collapsed.

The full study: first-thing-research.com/studies/ft-001-part-1-what-trust-rests-on

As of 2026-10-08 · Not investment advice.